

value for the company's supervisory and construction business." The public did not stop to reflect that a considerable part of this "book value" was based upon an essentially fictitious market quotation for an asset that the company had received *for nothing* only a few years before (as a bonus with American and Foreign Power Second Preferred stock).

This exploitation of the warrants had a peculiar vitality which made itself felt even in the depth of the depression in 1932–1933. Time having brought its usual revenge, the once dazzling American and Foreign Power Company had trembled on the brink of receivership, as shown by a price of only 15¹/₄ for its 5% bonds. Nevertheless, in November 1933 the highly unsubstantial warrants still commanded an aggregate market quotation of nearly \$50,000,000, a figure that bore a ridiculous relationship to the exceedingly low values placed upon the senior securities. The following table shows how absurd this situation was, the more so since it existed in a time of deflated stock prices, when relative values are presumably subjected to more critical appraisal.

(000 omitted in market value)

Issue	Amount outstanding	Price Nov. 1933	Total market value, 1933	Price Dec. 31, 1938	Total market value, 1938
5% Debentures	\$50,000	40	\$20,000	53	26,500
\$7 First Preferred shares	480	21	10,100	19 ⁷ / ₈	9,300
\$6 First Preferred shares	387	15	5,800	15	5,800
\$7 Second Preferred shares	2,655	12	31,900	9 ¹ / ₄	24,900
Common shares	1,850	10	18,500	3 ¹ / ₂	6,500
Warrants shares	6,874	7	48,100	1	6,900

By the end of 1938, as the table indicates, a good part of the absurdity had been corrected.

Some Holding Companies Not Guilty of Excessive Pyramiding. To avoid creating a false impression, we must point out that, although pyramiding is usually effected by means of holding companies, it does not follow that all holding companies are created for this purpose and are therefore reprehensible. The holding company is often utilized for entirely legitimate purposes, *e.g.*, to permit unified and economical operations of separate